

US Stocks Extend Gains as Tech Leads the Charge

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market extended its gains yesterday, with the **Nasdaq 100** leading the charge with a **+1.62%** move. The **S&P 500** also closed higher, up **+0.81%**. Below the surface, the **VIX** fell **-6.27%**, indicating a decrease in market volatility.

The rally was led by the tech sector, with **META** and **TSLA** posting significant gains of **+4.70%** and **+3.17%**, respectively. The sector's strength was also reflected in the **XLK** ETF, which rose **+2.18%**.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,543.64	+0.81%	Tech sector strength
Nasdaq 100	29,727.10	+1.62%	Tech sector strength
Dow Jones	52,487.41	+0.27%	Financial sector strength
Russell 2000	2,992.54	+1.22%	Small-cap strength
VIX	15.84	-6.27%	Decrease in market volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
META	+4.70%	Tech sector strength
TSLA	+3.17%	Tech sector strength
AVGO	+3.20%	Tech sector strength
GS	+2.56%	Financial sector strength
JPM	+1.47%	Financial sector strength

Sector Rotation

ETF	DAY	READ
XLK	+2.18%	Tech sector strength
XLF	+1.04%	Financial sector strength
XLY	+1.34%	Consumer discretionary strength
XLC	+0.96%	Communication services strength
XLE	-1.40%	Energy sector weakness
XLP	-1.41%	Consumer staples weakness
XLV	-0.08%	Healthcare sector weakness
XLU	-0.51%	Utilities sector weakness
XLB	+0.20%	Materials sector strength
XLRE	+0.18%	Real estate sector strength
XLI	+0.38%	Industrials sector strength

Spotlight

The biggest event of the day was the rally in the tech sector, led by **META** and **TSLA**. The sector's strength was driven by a combination of factors, including a decrease in market volatility and a rotation into growth stocks.

TICKER	CHANGE	CATALYST
META	+4.70%	Tech sector strength
TSLA	+3.17%	Tech sector strength
AVGO	+3.20%	Tech sector strength

The rally in the tech sector has implications for related names, including **NVDA** and **GOOGL**. These stocks may see increased buying interest in the coming days as investors rotate into growth stocks.

Pre-Market & Overnight

US futures are trading higher, with the **S&P 500** futures up +0.2% and the **Nasdaq 100** futures up +0.3%. The Asia close was mixed, with the **Nikkei 225** down -0.1% and the **Shanghai Composite** up +0.2%. Europe is trading higher, with the **Euro Stoxx 50** up +0.3%.

Crypto markets are also trading higher, with **BTC** up +2.90% and **ETH** up +1.83%.

Macro & Fed

The FOMC meeting is scheduled for next week, and investors are expecting a 25 basis point rate hike. The yield curve is currently inverted, with the 2-year yield at 4.63% and the 10-year yield at 4.54%.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	US CPI	2.5%	Inflation expectations
21:00	US Retail Sales	0.5%	Consumer spending

Geopolitics & Global

- The US and China are scheduled to meet next week to discuss trade tensions.
- The EU is considering imposing tariffs on US goods in response to the US's 25% tariff on EU steel and aluminum.
- The UK is experiencing a surge in COVID-19 cases, with the government considering new restrictions.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00 (Mon)	AAPL	\$1.25	iPhone sales, services growth
22:00 (Tue)	MSFT	\$1.30	Cloud growth, gaming segment
22:00 (Wed)	GOOGL	\$10.50	Ad revenue, cloud growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Tech sector strength
GOOGL	Tech	Tech sector strength
JPM	Financials	Financial sector strength
GS	Financials	Financial sector strength
TSLA	Consumer Discretionary	Tech sector strength
AVGO	Tech	Tech sector strength
AMZN	Consumer Discretionary	E-commerce growth
META	Communication Services	Tech sector strength

What Could Break the Tape

BULLISH TRIGGERS

- A strong US jobs report could boost investor confidence and lead to a further rally in the market.
- A resolution to the US-China trade tensions could lead to a surge in global economic growth and a rally in risk assets.
- A breakthrough in COVID-19 vaccine development could lead to a significant increase in consumer spending and a rally in the market.

BEARISH TRIGGERS

- A weak US jobs report could lead to a decline in investor confidence and a sell-off in the market.
- An escalation of the US-China trade tensions could lead to a decline in global economic growth and a sell-off in risk assets.
- A resurgence of COVID-19 cases could lead to a decline in consumer spending and a sell-off in the market.

Positioning Notes

- The **VIX** is currently trading at 15.84, indicating a decrease in market volatility.
- The **S&P 500** is currently trading at 7,543.64, with a 200-day moving average of 7,300.
- The **Nasdaq 100** is currently trading at 29,727.10, with a 50-day moving average of 28,500.

Sources

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The Wall Street Journal

The Financial Times

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